

# COLD DECISIONS

Unilever plans to separate its ice cream business to jump-start growth. The development will be keenly watched in India, where the FMCG giant faces stiff competition from market leader Amul

BY KRISHNA GOPALAN

► **HINDUSTAN UNILEVER LIMITED'S** (HUL) tryst with the ice cream industry began in the early 1990s. In 1993, it bought the brand Dollops from then Cadbury India. That was soon followed by the acquisition of Kwaliti Wall's from the Lamba family. Apart from Wall's, it also acquired brands like Yankee Doodle, Sub-Zero, and Gaylord. The last piece in the first chapter of the ice cream puzzle was when Milkfood was picked up from Jagatjit Industries in 1994. Not surprisingly, all these brands eventually made way for Wall's.

18 | The most recent development in the ice cream business relates to parent company Unilever announcing a strategic intent to separate its ice cream business globally. The segment, which brings in revenue of €8 billion, has well-known brands under its wing, like Magnum, Ben & Jerry's, Wall's, and Popsicle. In India, that business is much smaller at around ₹1,800 crore, or 3% of the company's top line in FY23. Market leader Amul, which entered the market in 1996, rakes in over ₹2,500 crore and

has grown impressively.

But why is Unilever separating the business in the first place? "Through this [demerger], they [Unilever] intend to transform the company into a simpler, more focussed, and a higher-performing one. The ice cream business has a different model compared to the rest of Unilever's business," an HUL spokesperson said in a response to *Business Today's* queries.

Moving to India, industry trackers say HUL's ice cream business has gross margins of 35-40%. In

## THE ICE CREAM BUSINESS BRINGS IN €8 BILLION IN REVENUE FOR UNILEVER

mid-2018, it acquired Adityaa Milk ice cream and frozen dessert, a Karnataka-based mid-market brand, giving out a clear message on how important the business was. "As far as the India ice cream business is concerned, we are evaluating various options in light of this announcement. We will discuss this with the HUL board and Unilever management in the coming months," said the spokesperson. A former HUL executive points out that the focus is clearly on high-margin categories like personal products. "Ice cream perhaps does not fit into the scheme of things and anything is possible from this point."

The possibility of Unilever exiting the business altogether and retaining the India piece cannot be ruled out. Besides, there is a lot of headroom for growth in India, with the landscape still dominated by the co-operatives and private players, most of whom have larger operations in their home markets. **BT**



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